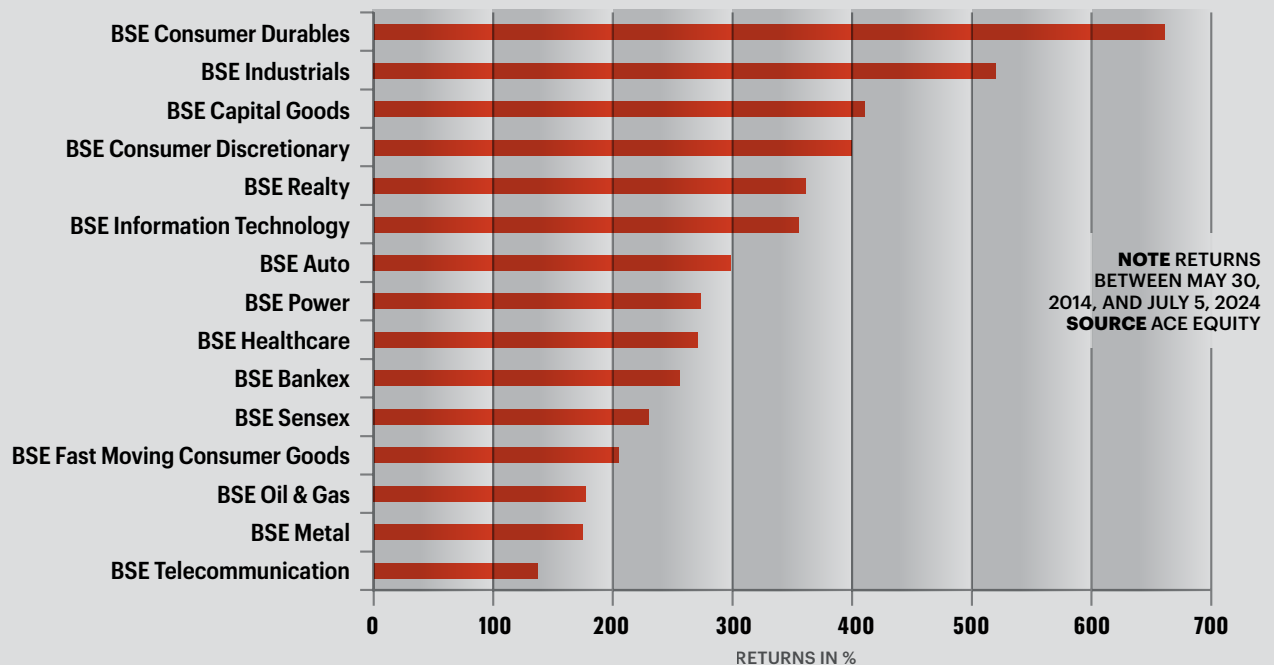


LEADERS AND LAGGARDS

► Consumer durables and industrial stocks have led the rally since May 30, 2014 ► FMCG, oil & gas, metal, and telecom have underperformed the markets in the past 10 years



THE ROAD AHEAD

The upcoming Budget will set the tone of policy actions for the next five years. LIC MF's Mittal believes that the Budget will ensure policy continuity. "It may focus on infrastructure spending, job creation, sustaining capex momentum, and pushing for revenue growth," he says, adding that there could be some steps to improve consumer purchasing power. Markets are generally driven by earnings outlook and cost of capital, so if there is no major negative tax surprise, they are likely to take the Budget positively, he adds. They are already upbeat—the BSE Sensex recently breezed past the 80,000-mark.

Analysts are also positive on the PSU space. The combined net profit of listed state-owned firms surpassed ₹5 lakh crore for the first time in FY24, compared to ₹1.55 lakh crore in FY14. "There has been a change in governance, focus on transformation, and good leadership, which has changed the landscape for PSUs in various sectors. The government's focus on spending across sectors like infrastructure, power, defence, and the capitalisation of banks has enabled PSUs in their respective sectors to grow," says Kunal Shah, Senior Research Analyst at Carnelian Asset Management & Advisors.

All these could have a positive impact on PSU stocks, while the government's focus on the rural sector might benefit FMCG, consumer durables, and agri stocks. "With fiscal deficit under control and the big amount coming in from the RBI [as dividend], we can surely see

some extra rural-led spending, which will be good for the rural segment of the country," says Shah. In May, the RBI announced a record dividend of ₹2.11 lakh crore to the Government of India for FY24.

Vaibhav Porwal, Co-founder of investment services firm Dezerv, says the Budget will strike a balance between enhancing consumption and increasing investments, essential elements for sustainable growth. "While India's macroeconomic fundamentals are strong, policy efforts shall be directed towards transforming India into a developed economy by 2047," he says, adding that the capital spending to GDP ratio doubled from FY19 to FY24 as the government prioritised infrastructure investment. He expects government support for infra projects to continue. "We also expect the government to incentivise states and private companies to contribute to the next phase of infrastructure development."

Hemant Sood, MD of financial services firm Findoc, concurs. He says that the government will look to further boost investments in infrastructure. "The Budget will also be focussed on many sectors like IT-BPM (Business Process Management), semiconductor, manufacturing, and defence, alongside real estate under the Aatmanirbhar Bharat vision and subsequent PLI schemes will make the economy extremely efficient," he says.

That's music to investors' ears. **BT**

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